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Radical Reform of the International Investment Treaty Regime: A Role for Climate Clubs?

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ABSTRACT

There is growing concern that provisions in international investment treaties are being used to delay the critically needed transition away from fossil fuels. Although various procedural and substantive reforms have been pursued in recent years, these reforms have thus far failed to tackle the fundamental problems with investment treaties and the investor-state dispute settlement (ISDS) system associated with them. By way of an alternative approach, this article assesses the potential for "climate clubs" to act as a forum for the development of initiatives that range from providing a waiver agreement for ISDS related to fossil fuel assets, to a general ISDS waiver agreement, to a mutual agreement to terminate investment treaties. These initiatives could be implemented in an existing climate club, or a new club could be formed for this purpose.

1 | Climate and Investment Law in Conflict

When Joe Biden was sworn in as United States (US) President in January 2021, he immediately rescinded a permit for the Keystone XL pipeline that had been issued by President Trump a few years prior. This decision was the culmination of more than a decade of environmental activism to block the project, which would have transported crude oil from the Alberta tar sands to US refineries. In November 2021, the company behind the project responded to Biden's decision by launching a legal claim for USD15 billion against the government through a process known as investor-state dispute settlement (ISDS) (*TC Energy* v *United States* 2021). Following two and a half years of pleadings and deliberations, the tribunal dismissed the claim in July 2024, finding that it did not have jurisdiction to hear the merits of the case.

The US escaped any potential liability in this case, and also drastically reduced the risk of future ISDS claims arising, by terminating the North American Free Trade Agreement (NAFTA) in 2020 and excluding ISDS from its relationship with Canada in the treaty that replaced it—the US-Mexico-Canada Agreement (USMCA).[1] Other countries have also recently acted to reduce their exposure to ISDS claims, for example, by withdrawing from the Energy Charter Treaty (ECT), the largest and most frequently used investment treaty (Schaugg 2024).

A key reason given by governments and the EU for withdrawing from the ECT is its lack of alignment with the Paris Agreement (European Commission 2023). The concern that investment treaties may be hindering action on climate change and/or making it more costly has risen in prominence as more ISDS cases like *TC Energy* v *United States* have emerged (Boyd 2023; UNCTAD 2022). The Netherlands, Germany, and Canada have been sued over coal power phase-out policies (*RWE* v *Netherlands* 2021; *Uniper* v *Netherlands* 2021; *AET* v *Germany* 2024; *Westmoreland* v *Canada* 2020; 2023). Canada and Australia are facing cases related to coal mining (*Riversdale Resources* and *Hancock Prospecting* v *Canada* 2024; *Zeph Investments* v *Australia* 2023; 2024). Canada is also defending the decision to reject a proposed liquified natural gas (LNG) terminal on

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Policy implications

- Climate clubs focused on the phase-out of fossil fuels (e.g., Beyond Oil and Gas Alliance) and/or fossil fuel subsidies (e.g., Coalition on Phasing Out Fossil Fuel Incentives Including Subsidies) should develop an initiative among members to modify or terminate investment treaties.
- Modification could involve a carve-out of investment treaty protection for the sector covered by the club, a carve-out of investment treaty protection for all fossil fuels, or the complete removal of investor-state dispute settlement (ISDS) from the relevant treaties.
- Governments concerned about the impacts of investment treaties on ambitious climate policymaking could also form a new climate and investment treaty club specifically focused on this issue.
- Collective action to reform the investment treaty regime is preferable, but if these recommendations are not adopted in a timely manner, governments should unilaterally terminate their investment treaties to protect their policy space.

climate grounds (*Ruby River* v *Canada* 2023). Indeed, legal firms and third-party funders have highlighted that climate policy cases are a growth area for the arbitration industry (Norton Rose Fulbright 2021; Freshfields 2023; Burford Capital 2024).

The rise in climate-relevant ISDS cases has led to discussions, for example at the Organization for Economic Cooperation and Development (OECD), about potential reform options ranging from fossil-fuel/climate policy carve-outs to treaty termination (Novik and Gaukrodger 2024; Paine and Sheargold 2023). While the NAFTA renegotiation and ECT withdrawals demonstrate that it is possible for states to extricate themselves from ISDS, these examples also illustrate that it is much easier for states to do so collectively. Furthermore, given the large number of investment treaties that are in force (more than 2500), it is far more efficient to modify or terminate them through a multilateral or plurilateral agreement rather than unilaterally or bilaterally. However, what is less clear is where negotiations for such an agreement should be launched. In this article, we examine the potential for "climate clubs" to act as a forum for treaty modification or termination in the absence of progress in existing processes at the OECD and United Nations Commission on International Trade Law (UNCITRAL). We argue that climate clubs offer an avenue for coalitions of willing states to demonstrate leadership in aligning investment treaties with the Paris Agreement and to establish a norm for radical, rather than incremental, reform.

The article is organized as follows. We first review ongoing efforts to reform the international investment treaty regime (Section 2). We then unpack the notion of climate clubs, arguing that they can potentially overcome the limitations of existing venues for reform discussions (Section 3). Next, we outline three types of initiatives that could be adopted to modify/terminate investment treaties (Section 4), as well as possible pathways for reform through either an existing club or a newly formed one (Section 5). We close with some recommendations for further research (Section 6).

2 | Reform of the International Investment Treaty Regime

2.1 | The Investment Treaty Regime and Its Discontents

As noted by Bonnitcha, Poulsen, and Waibel (2017: 3–5) the investment treaty regime is made up of three main components: (i) investment treaties, which include bilateral investment treaties (BITs) signed between two states, as well as free trade agreements (FTAs) and other plurilateral treaties with investment provisions (TIPs); (ii) rules, institutions, and treaties that concern the conduct of arbitration; and (iii) the decisions of arbitral tribunals. Investment treaties cover 65% of the global stock of foreign direct investment (FDI), with plurilateral agreements accounting for the largest share (53%) (UNCTAD 2024a, 24). Most BITs are between a capital-exporting partner from the Global North and a capital-importing partner from the Global South, with investment flowing predominantly in one direction and thereby not exposing the wealthy capital exporter to a significant number of investor claims.

The investment treaty regime has been extensively critiqued on substantive and procedural grounds. Substantive critiques focus on the broad and vague protections offered to investors, which allow policies taken to protect the public and/or the environment to be challenged in ISDS, and the asymmetry of the regime, which does not impose any obligations on investors (Schneiderman and Van Harten 2024; Arcuri 2019). Procedural critiques focus on the mechanisms by which arbitrators are selected, the potential for conflicts of interest to arise, the lack of transparency in proceedings, the limited opportunities for third parties to intervene, the cost and duration of proceedings, and the lack of consistency in outcomes (due to there being no precedent and no appeals process) (Bonnitcha et al. 2017; Dietz et al. 2019).

A final critique concerns quantum, that is, the amount that arbitrators can award an investor if they find a breach of a treaty. The absence of clear guidelines on quantum has provided arbitrators the opportunity to deliver awards for hundreds of millions and even billions of dollars, based on speculative valuation methods and projections of "lost future profits" (Bonnitcha and Brewin 2020; Boué 2023). The average amount awarded over the last decade was USD 385 million (excluding interest) although it was notably higher in cases involving fossil fuel investments (UNCTAD 2024b).

2.2 | Existing Reform Efforts

Action by states to respond to the myriad problems with the investment treaty regime has varied substantially. Procedural reform discussions, which are predominantly facilitated by UNCITRAL Working Group (WG) III, have attracted the most attention (Polonskaya 2020). The main outputs of this process to date are a Code of Conduct for Arbitrators, the establishment

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of an Advisory Centre on International Investment Dispute Resolution, and a draft Multilateral Instrument on ISDS Reform (MIIR). The MIIR takes the form of a framework convention with minimal obligations along with optional legally binding protocols. The six protocols currently under consideration include the above-mentioned Code of Conduct and Advisory Centre Statute, as well as proposals for a standing mechanism for dispute resolution (i.e., a multilateral investment court), an appeals process and a protocol that would address a suite of procedural issues as well as some "cross-cutting" ones such as the "right to regulate" (UNCITRAL Secretariat 2024). Despite this apparent progress, several scholars have lamented the "futility of the limited reforms" that have emerged from UNCITRAL (Van Harten and Vastardis 2023). Cotula (2023: 768) argues that because WG III takes the existing system as the starting point it "entrenches 'path dependency', as historical legacies disproportionately shape future trajectories; and it tends to produce piecemeal reforms that rarely alter the fundamentals."

Substantive issues have largely been tackled in newly signed investment treaties, with the introduction of clarifying language and exceptions clauses intended to limit the ability of arbitrators to creatively interpret provisions in ways that benefit investors and circumscribe the policy space of governments (UNCTAD 2023). The problem with this approach is twofold. First, it does nothing to address the stock of "old" investment treaties, which are the main source of ISDS cases (Poulsen and Gertz 2021). Only a small number of these treaties, most notably the ECT, have been "modernized" through renegotiations (ECT 2024).[2] To deal with this issue, it has been suggested that a plurilateral agreement to modify existing treaties could be adopted, something that OECD members are currently discussing and that could also be addressed in a new protocol to the MIIR (Novik and Gaukrodger 2024; UNCITRAL Secretariat 2024). The second problem, which may be more difficult to address, is that arbitrators continue to interpret new/modernized treaties in much the same way as old ones (Alschner 2022). A good example of this is the award in *Eco Oro* v. *Colombia* (2021), where the tribunal found that a policy to protect an important ecosystem fell under an environmental exception clause in the applicable treaty, but that this did not exempt the state from having to compensate the investor (Ünüvar 2023).

In addition to developing better language for new/updated treaties, some states have renegotiated their treaties to remove access to ISDS. In the case of the shift from NAFTA to USMCA, ISDS was excised for the Canada-US and Canada-Mexico relationships[3] and substantially modified for the US-Mexico relationship. Some parties to the Comprehensive and Progressive Agreement for a Trans-Pacific Partnership (CPTPP) have used bilateral side letters to mutually disapply ISDS.[4]

In another effort to respond to the problems with the investment treaty regime, several states have terminated BITs. There are three main pathways for termination: unilateral, bilateral (mutual consent), and plurilateral/multilateral (Mehranvar et al. 2024; see Table 1). Sunset (or "survival") clauses can limit the immediate effects of termination. These clauses are common in investment treaties and allow for investments already established at the time of termination to continue to benefit from the provisions in the agreement for a further 5–20 years. For example, the oil exploration company Rockhopper sued Italy after the country had withdrawn from the ECT (Arcuri et al. 2024). However, if termination is not unilateral, it is possible to neutralize the sunset clause. This was the approach taken in an Intra-EU BIT Termination Agreement that was developed in the EU following a court ruling that BITs are incompatible with EU law (de Anzizu and Reisch 2024; Mehranvar et al. 2024). There are now similar proposals to neutralize the sunset clause among countries withdrawing from the ECT (Schaugg and Nikièma 2024; Hailes et al. 2025).

The total number of BIT terminations reached at least 585 by 2023, with about 70% of these occurring in the last decade (UNCTAD 2024a). However, roughly 35% of terminations are related to the intra-EU terminations (Mehranvar et al. 2024), 30% of terminated treaties have been replaced with new agreements, and ultimately only 6% of total FDI stock has lost treaty coverage as a result of terminations (UNCTAD 2024a).

In summary, several approaches to reform of the investment treaty regime exist, but efforts to date have been either ineffectual or remain highly fragmented. Coordinated action is important because unilateral measures are hampered by sunset clauses and it is politically difficult for countries worried

TABLE 1 | Investment treaty termination options.

Type of termination	Requirements	Examples	Advantages	Disadvantages
Unilateral	Depends on termination clause in the treaty	All of Ecuador's BITs under Correa administration	Does not require agreement of both parties	Sunset clause: treaty continues to apply for existing investments for 5–20 years
Bilateral	Consent of both parties	Czechia's BITs with Denmark, Italy, Malta, and Slovenia	Can neutralize sunset clause	Can be difficult to get agreement of parties
Plurilateral	Consent of parties to multiple agreements	Intra-EU BIT Termination Agreement	Can neutralize sunset clause and efficiently terminate many treaties at once	Takes time to negotiate

Source: Based on (Mehranvar et al. 2024).

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that such action will be perceived as anti-private investment.[5] While traditional investment treaty forums such as UNCITRAL and the OECD may contemplate MIIR protocols or plurilateral agreements to address climate change in the future, the urgency of the climate crisis suggests that alternative venues that might be able to achieve this sooner should be considered. We also concur with Cotula (2023: 791) that the "climate challenge requires re-embedding discussions about investment treaties within a policy space that places climate at centre stage." This could mean integrating investment treaty reform discussions into the multilateral climate negotiations under the UN Framework Convention on Climate Change (UNFCCC). However, given the limitations of that outlined in the next section, an alternative is for this topic to be tackled through climate clubs.

3 | Tackling Investment Treaty Reform Through Climate Clubs

3.1 | Climate Clubs: Theory and Practice

Given the slow pace of multilateral climate negotiations, and the ability of incumbent actors to frustrate their ambition, there is growing interest in plurilateral agreements to accelerate climate action "from below" (Eckersley 2012; J. F. Green 2017; Falkner et al. 2022). Often referred to as "climate clubs", such arrangements can potentially provide venues for first-mover countries to advance initiatives that would be harder to pursue alone or on a bilateral basis. These initiatives can establish norms that are then taken up by states outside of the club or may even be integrated into multilateral negotiations (van Asselt and Newell 2022).

There are various types of climate clubs. For some, clubs can best (or even only) be understood as stringent limited-membership arrangements in which club members impose trade sanctions on non-members (Nordhaus 2015)—effectively creating a club good. Other scholars consider climate clubs to also include looser arrangements that bring together a group of like-minded actors with a view to deepening climate action in a given issue area (Falkner et al. 2022). It is in this latter sense that we understand the concept of climate clubs.

Compared to a multilateral negotiation process, a club approach offers several advantages. It provides first-mover countries with a means to proceed with a degree of flexibility in terms of the legal form and procedures to be followed, allowing for a measure of experimentation and reducing the complexity of negotiations (Victor 2006, 2015). This, in turn, can lead to faster agreement among club members. Given the flexibility in terms of membership, a club can specify commitments for both states and nonstate actors. Moreover, such commitments can be differentiated by club members. By bringing in new actors, club arrangements can also broaden coalitions and create momentum for reform among a cross-section of global actors. Subnational and nonstate actors—such as cities, regions, NGOs, and businesses—can participate in a club arrangement even if national governments are unwilling to do so (Hale 2018).

Climate clubs have moved from theory to practice in recent years, including notably the Climate Club initiative launched under the auspices of Germany's G7 Presidency. Whereas this initiative is primarily concerned with industrial decarbonization, several government-led international cooperative initiatives have emerged that directly or indirectly aim at phasing out one or several fossil fuels. These include: the Powering Past Coal Alliance (PPCA) to phase out coal-fired power; the Beyond Oil and Gas Alliance (BOGA), an initiative founded by Denmark and Costa Rica to phase out oil and gas production; the Clean Energy Transition Partnership (CETP), spearheaded by the Government of the United Kingdom (UK), which seeks to end new public finance for unabated fossil fuels and redirect it into clean energy; and the Coalition on Phasing Out Fossil Fuel Incentives Including Subsidies (COFFIS) launched at the UN Climate Conference in 2023 and driven by the Dutch government.

These initiatives, along with initiatives such as the campaign for a Fossil Fuel Non-Proliferation Treaty (FFNPT) (Newell and Simms 2020; Newell, van Asselt and Daley 2022), have helped to build momentum for the transition away from fossil fuels. Moreover, the informal commitments made can help entrench social norms around winding down fossil fuel production (F. Green 2018; van Asselt and Green 2023). Indeed, the PPCA shows how a few countries (namely the UK and Canada) can rapidly "internationalize" a new idea, in this case, phasing out unabated coal-fired power (Blondeel et al. 2020). However, one common criticism is that most of these initiatives have yet to secure the participation of major fossil fuel producers and economic players and that they are driven by smaller states for whom the stakes of a fossil fuel phase-out are lower. This is only true to some extent. For example, the CETP was joined by six G7 countries (although the United States dropped out again in February 2025); the PPCA includes the United States and major coal regions such as Germany and North Macedonia; and BOGA was joined by Colombia, a major fossil fuel producer in Latin America. BOGA and the PPCA also highlight the potential of including a variety of subnational and nonstate actors, including subnational authorities from countries that are not members as well as businesses and investors.

The commitments states adopt in these clubs are often not legally binding, and non-compliance does not attract sanctions. To induce wider participation, club theory suggests that a coalition would need to provide excludable member benefits or impose sanctions on non-members (Keohane and Victor 2016). Such excludable benefits can be tangible, such as trade restrictions on imports from non-members, but they can also be intangible, for example, reputational benefits by being perceived as a climate leader. A more limited scope may also make it easier for states to participate (Busby and Urpelainen 2020).

3.2 | Climate Clubs: Relevance of Investment Treaties

From the perspective of those interested in radical reform of investment treaties, climate clubs are attractive because they provide existing institutional infrastructure and governance arrangements (secretariats and reporting, for example) and they convene first-mover countries that are committed to climate action. From the perspective of those interested in ensuring that climate clubs are effective, there are also good reasons to

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consider incorporating initiatives on investment treaties. We argue that investment treaties pose a clear risk to the achievement of the objectives of several existing climate clubs as well as to their ability to attract new members.

For example, the efforts of the PPCA could be hindered by investor claims or threats to bring claims in relation to the early retirement of coal power plants. Similarly, the objectives of BOGA could be impacted by claims related to restrictions on oil and gas production. Indeed, the former Climate Minister of New Zealand has admitted that the country did not become a "core member" of BOGA due to concerns about ISDS (Meager 2022). Table 2 summarizes the connections between three established climate clubs and investment treaties.

In short, investment treaty reform is highly relevant for realizing the commitments raised in various climate clubs related to transitioning away from fossil fuels. Although there are benefits of limiting the scope of climate clubs, there are also risks associated with adopting an overly narrow conception of what is relevant to its mandate. As such, investment treaty commitments could be part of the architecture of such clubs. However, as discussed in Section 5, states can also opt to develop a new climate club focused solely on investment treaty commitments.

4 | Potential Investment Treaty Reforms Within Climate Clubs

Based on the need for urgent action to limit the threat of ISDS claims over fossil fuel phase-out plans and other climate policies, and the limitations of existing investment treaty regime reform efforts, we propose three types of initiatives that could be developed in climate clubs.

4.1 | Type 1: Fossil Fuel Investor ISDS Waiver

This approach would involve an agreement among club members to modify all the investment treaties that fall within the membership of the club (i.e., all parties to the treaties are also members of the club) to remove access to ISDS for either all fossil fuel investors or for investors in the specific sector that the club focuses on (e.g., the PPCA could remove access for investors in coal power plants). For investment treaties that have a mix of club and non-club membership, club members could sign side letters or a plurilateral *inter se* agreement to the same effect. So long as the treaties in question do not prohibit modification, this would comply with the Vienna Convention on the Law of Treaties (Schaugg and Nikièma 2024; Hailes et al. 2025).

Novik and Gaukrodger (2024: 14) have developed sample text that could be used for this strategy:

> The provisions on ISDS of a Climate-Updated Investment Treaty do not apply in respect of an Investment by an investor of another Contracting Party regarding Fossil Fuels after the Effective Date of the Climate-Updated Investment Treaty.

The advantages of this approach are that it leaves existing treaties intact, with state–state dispute settlement still possible, and thereby avoids the application of sunset clauses. It is also likely to be more politically palatable to countries that are concerned about the impacts of treaty termination on their ability to portray an "investment friendly" image.

One disadvantage of this approach is that the negotiation of what constitutes a "fossil fuel investment" could introduce potential loopholes (e.g., exempting "abated" coal) or uncertainty. However, the OECD Secretariat has developed an Annex, based on the International Convention on the Harmonized Commodity Description and Coding System, listing all items defined as "fossil fuels" that could easily be adopted by a climate club (Novik and Gaukrodger 2024). Moreover, the recently adopted Agreement on Climate Change, Trade and Sustainability (ACCTS, involving Costa Rica, Fiji, New Zealand and Switzerland), which includes a dedicated annex spelling out "fossil fuels", demonstrates that countries could overcome this challenge (MFAT 2024).

Another disadvantage of this approach is that countries will continue to be exposed to ISDS cases from outside the fossil fuel sector. These cases could have climate policy implications (e.g., wetland protection for climate adaptation being challenged by mining investor or property developer—see *Eco Oro* v *Colombia*) and could make it much more difficult to achieve a just transition (e.g., with respect to disputes over critical minerals; see Songy and Dietrich Brauch 2024). ISDS cases can also have an impact on other policy areas such as biodiversity protection and Indigenous rights.

4.2 | Type 2: Full ISDS Waiver

A more comprehensive approach that would address several of the shortcomings of type 1 commitments would be for club members to make an agreement to modify all the investment treaties that fall within the membership of the club to remove ISDS entirely. For investment treaties that have a mix of club and non-club membership, club members could sign side letters or *inter se* agreements to the same effect (as discussed in Section 4.1).

As with type 1, this approach has the advantage of leaving existing treaties intact, with state–state dispute settlement still possible and avoiding the application of sunset clauses. This approach also has the advantage of ensuring the end of ISDS cases within the club. Additionally, this approach is more likely to be attractive to club members that do not have substantial fossil fuel investment in their territory but are exposed to potential investor claims in other areas such as critical minerals extraction.

The main disadvantage of this approach is that it is harder to justify that it fits within the mandate of an existing climate club. Club members must work within the context of carefully worded mandates and commitments that are focused on specific areas of climate action. Proposing reforms that will have impacts well beyond the initial scope of a club will likely generate resistance among some members. This may be more easily overcome

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TABLE 2 | Relevance of investment treaties to climate clubs.

Club	Core objective	Relevant commitments by members	Impact of investment treaties
BOGA	"to facilitate the managed phase-out of oil and gas production"	*Core members*: "commit to end new concessions, licensing or leasing rounds for oil and gas production and exploration and to set a Paris-aligned date for ending oil and gas production and exploration on the territory over which they have jurisdiction" *Associate members*: "Implemented ambitious domestic subsidy reform as part of a plan to end subsidies that support oil and gas within a Paris aligned timeframe" "Signal an interest in developing short and long term concrete Paris aligned commitments for oil and gas production before 2025 (i.e., over the course of the next NDC revision cycle)" *Friends of BOGA*: "...supports a socially just and equitable global transition to align oil and gas production with the objectives of the Paris Agreement, and commits the signatories to work together to facilitate effective measures to this end..."	ISDS claims by investors holding exploration or production licenses could hinder a Paris-aligned phase-out and/or make it more costly for states Changes to oil and gas subsidy schemes could be challenged by investors Concern about ISDS claims could limit core membership Investment treaties are not aligned with a socially just and equitable transition
COFFIS	"to remove fossil fuel subsidies collectively through coordinated efforts and concrete direct domestic action"	"Signatories commit to developing national strategies [to phase out subsidies] within a clear timeline. Reduction of emissions should be the main focus when forming a national phase-out strategy. Therefore, it is essential to not only look at subsidies, but to consider the overall picture: the gap in pricing of external costs of emissions stemming from fossil fuels. National phase-out strategies should focus on closing this gap. Such strategies could also consider (in)efficiency and address the role of energy poverty and ensuring a just transition"	Changes to oil and gas subsidy schemes could be challenged by investors Concern about ISDS claims could limit membership
PPCA	"to advance the transition from unabated coal power generation to clean energy"	Ending financing of coal power generation and delivering a coal phase out in line with Paris Agreement timeframes (2030 for EU and OECD members, 2040 for others)	ISDS claims by investors in coal power plants could hinder the managed phase-out and/or make it more costly for states Concern about ISDS claims could limit membership

Source: Commitments by club members were retrieved from club websites (last accessed 20 January 2025).

in the context of new clubs, where a broader mandate can be negotiated. However, even then it may prove difficult to find agreement among states to a full removal of ISDS, given prevailing perceptions about the benefits of investment protection. Many governments argue that treaty protection is necessary to promote investment in green sectors such as renewable energy, notwithstanding the lack of evidence supporting this position (Mehranvar and Sasmal 2022).

4.3 | Type 3: Coordinated Withdrawal/Termination

Something that would have to be carefully considered for both strategy 1 and 2 is what the impact would be if a state wanted to leave a climate club and withdraw from a waiver agreement. Given that support for ISDS can often fluctuate with changes in government (see, e.g., Calvert and Tienhaara 2023; Trew 2024), there is a risk in leaving investment treaties intact.

This final type of initiative avoids that risk by taking the route of termination by mutual consent for all bilateral investment treaties among club members, alongside the neutralization of any sunset clauses. This is quite a common practice, although it is often carried out when a new treaty between the parties is replacing the one being terminated (see, e.g., the discussion of Australia terminating several BITs with fellow members of the CPTPP in Voon and Mitchell 2016). As noted previously, this was also the approach taken by EU Member States when they terminated 190 intra-EU BITs through a single agreement in 2020. For larger treaties, where not all parties are members of the climate club, agreements/side letters could be used to rule out the use of ISDS as in type 2.

This approach completely removes the risk of tribunals and/or investors exploiting possible loopholes in waivers. However, it would be more difficult to negotiate and get states on board. Moreover, like type 2, the climate rationale for this approach is

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less apparent, meaning it will be likely more difficult to pursue this option through existing climate clubs with narrow mandates.

5 | Potential Pathways

We see two potential pathways for one or several of these types of initiatives to be implemented.

5.1 | Pathway 1: Existing Climate Clubs

As discussed in Section 3, several climate clubs already focus on shifting investment away from fossil fuels. In this section we demonstrate how many treaties would be impacted if BOGA or COFFIS adopted one of the strategies outlined in Section 4.[6] As each club has a different mandate, it would likely adopt a different approach, with variations of type 1 initiatives seeming most probable. Although COFFIS focuses on fossil fuel subsidies, a fossil fuel investor ISDS waiver could be considered under its mandate of "identify[ing] international barriers preventing the phase-out of fossil fuel subsidies" (Government of the Netherlands 2023). BOGA would most likely focus on a waiver for oil and gas investors only.

Figures 1 and 2 illustrate the investment treaty relationships (enumerated in Table 3) between climate club members.[7] The Canada-EU Comprehensive Economic and Trade Agreement (CETA), if it comes into force, will create nine investment treaty relationships within COFFIS, and these are included in Figure 2. However, it is worth noting that this agreement includes a modified version of ISDS (known as an Investment Court System) and that opposition to this system (and any form of ISDS) is holding up the ratification of CETA in several countries, including COFFIS members Belgium, France, and Ireland (Sinclair and Trew 2023).

While the number of investment treaties among members of BOGA and COFFIS is small, these clubs were only recently launched, and the ambition is for the membership of each to expand. Furthermore, action on investment treaties within these clubs could help to establish a norm that could then spread outside the club. Notably, Spain and France, which are members of both clubs, are parties to treaties that are protecting oil and gas fields that will emit 165.14 Mt CO_2e if fully exploited (Lee and Dilworth 2024). If these two countries first modified their treaties with BOGA/COFFIS partners and then extended this approach in treaties external to these clubs, it would have a very large impact on the overall landscape of investment protection for the industry.

When considering where support for our proposed reform strategies might come from within these clubs, it is important to recognize that countries in the Global North and Global South are in very different positions with respect to ISDS risk. The Global South is much more exposed to ISDS claims, and many countries would be primarily motivated by a desire to reduce their own potential liability. More than 60% of the potential ISDS claims over fossil fuel assets identified by Lee and Dilworth (2024: 23) would be directed at low- and middle-income countries. Colombia, a member of BOGA and COFFIS and a first mover in committing to leave reserves of oil in the ground, is particularly exposed. The government led by President Gustavo Petro is trying to renegotiate investment treaties with several countries (Reyes 2024; Republic of Colombia 2024). Figures 1 and 2 demonstrate that there are also some countries in the Global South, particularly small island states, that are party to only a few or no investment treaties with other club members. These countries will presumably not object to initiatives to address investment treaties within the club unless this is seen as a potential hindrance to growing the club's membership.

Companies based in the Global North benefit the most from investment treaties and lobby governments accordingly to keep them (Calvert and Tienhaara 2023). The arbitration industry also lobbies governments to maintain the system, and increasingly there are also other financial actors with a vested interest in the status quo (Dafe and Williams 2020). To overcome these obstacles, other factors such as the desire to demonstrate climate leadership would have to play a major role in bringing Global North countries on board with a plan to address investment treaties. Discrepancies between proclaimed leadership on phasing out fossil fuels and being party to investment treaties that risk slowing down transitions in other countries generate a reputational vulnerability which activists are likely to capitalize on.

France and Denmark, countries involved in both clubs modeled here, would appear to be strong contenders for taking a leadership role. Notably, the French High Council on Climate advised that the ECT is incompatible with climate objectives, and this finding could be extended to BITs (French High Council on Climate 2022). Spain has also expressed concerns about ISDS (unsurprisingly, as it is the third most sued state with 56 cases) and is also a member of both clubs (Boyd 2023).

Although Canada has also been on the receiving end of many disputes, the government continues to favor ISDS and has both a strong oil and gas lobby and a strong mining lobby that would oppose any radical reform of investment treaties (Trew 2024). Canada would likely oppose the adoption of any initiative on investment treaties in COFFIS. Interestingly, the Province of Québec, the current co-chair of BOGA, could be a champion for our proposals (the Bloc Québécois is opposed to ISDS and the province's policy decisions related to gas have been subjected to two ISDS cases). However, it does not have any control over the content of Canada's treaties.

There are countries that have experience with excluding ISDS from agreements in the clubs modeled, such as New Zealand and the UK, who have a side letter disapplying ISDS in the CPTPP. Notably, the UK, which is both highly exposed to potential claims from the fossil fuel sector and protecting a substantial amount of fossil fuel assets overseas through its treaties, is currently led by the Labour Party, which as of 2021 had a policy to oppose ISDS (UK Labour 2021). However, when the Secretary of State for Business and Trade was questioned about ISDS by a member of his own party in late 2024, his response indicated that the party's position had changed and that the government would not be reviewing ISDS clauses in existing BITs (UK Parliament 2024).

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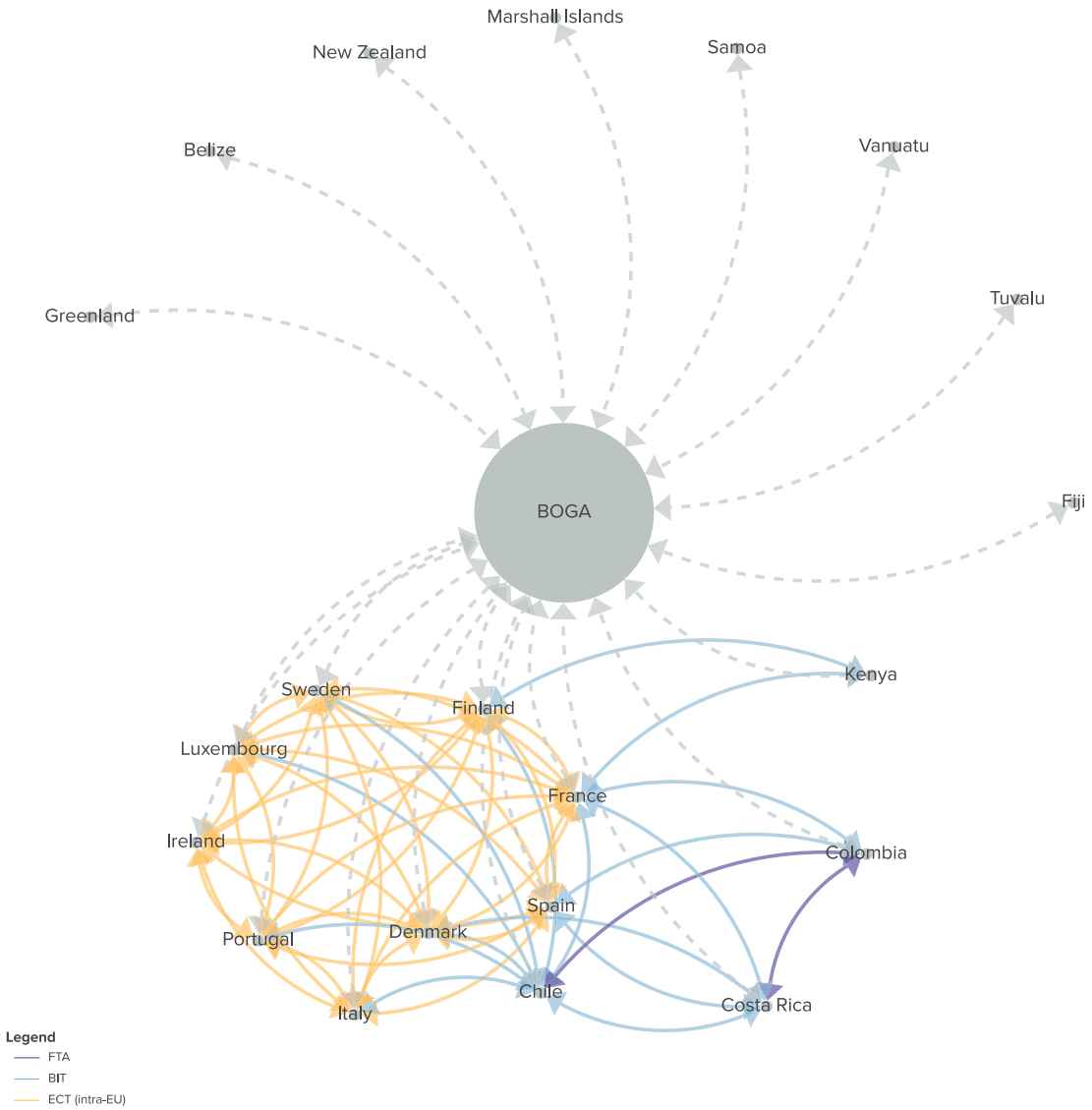

FIGURE 1 | BOGA investment treaty relationships.

5.2 | Pathway 2: Formation of a New Club

Considering some of the limitations associated with existing climate clubs, the obstacles that we have identified to these clubs adopting one of our proposed strategies, and the small number of treaties that would be impacted, it is worth exploring the possibility of a new club being formed specifically to address the lack of alignment between investment treaties and climate goals. A new club would not need to fit the investment treaty issue into an existing mandate and therefore the aim could be more ambitious (i.e., pursuing a type 3 initiative to terminate treaties).

Some of the countries outlined above could be potential champions for a new club, and experience suggests that having the support of a handful of major economies for a club would help to boost membership and attract other members. In terms of critical mass, there are several different ways to consider what it might look like. One could aim for efficiency and try to include the countries with the most investment treaties to modify or terminate the largest possible number at once. The countries with the most treaties are listed in Table 4, with European countries clearly leading the pack. One could instead aim to include the countries that are parties to the treaties protecting the most fossil fuel assets. Tienhaara et al. (2022) identified several BITs, including Argentina's with the US and the Netherlands, Indonesia's with the UK, and China's with Ethiopia and Guyana, along with the ECT as protecting a substantial amount of upstream oil and gas projects that are incompatible with a 1.5°C pathway. Lee and Dilworth (2024) identify the countries protecting the most potential GHG emissions through their treaties (see Table 5).

Critical mass could also be achieved through participation of the countries that are the home states for the most investor claims, which are listed in Table 6. One point to note is that some countries (e.g., the Netherlands, Luxembourg) are likely hosting investors from other countries that have structured their investments to gain access to investment treaties (as well as favorable taxation regimes). As treaties are modified or terminated, companies may restructure their investments through jurisdictions where treaties remain in place.

In terms of host states, to be most effective the club would involve several countries highly exposed to potential ISDS

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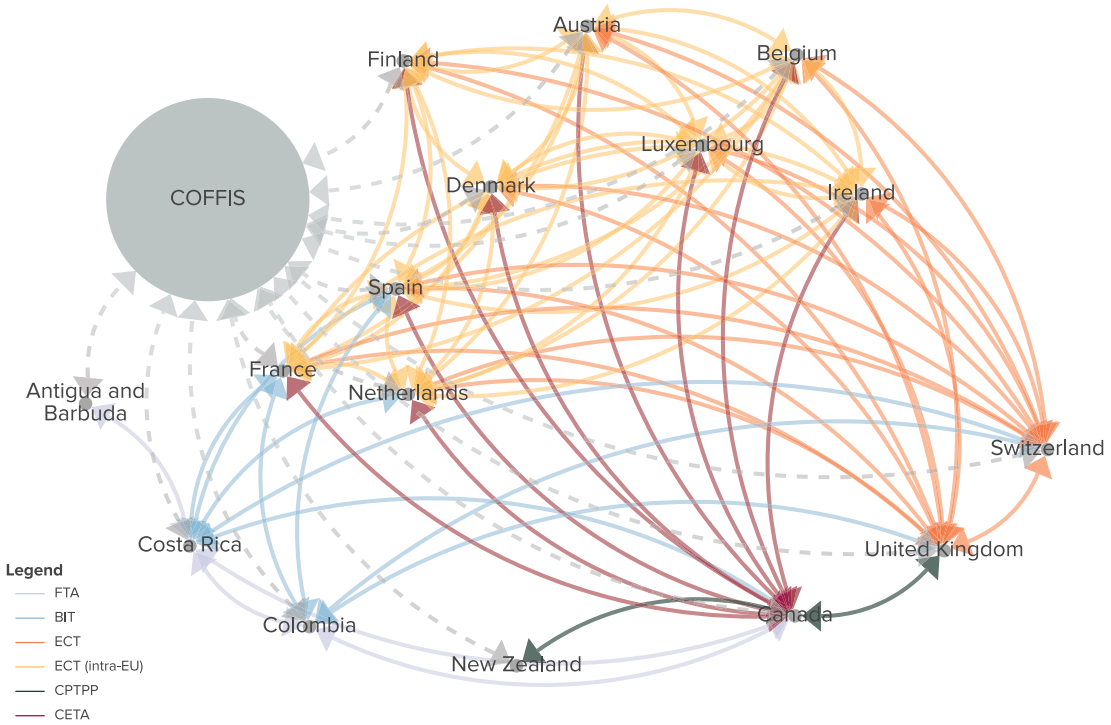

FIGURE 2 | COFFIS investment treaty relationships.

TABLE 3 | Investment treaties with ISDS among club members.

Club	BITs	FTAs	ECT (intra-EU) relationships	ECT (not intra-EU) relationships	Total # of treaty relationships
BOGA	15	2	36	0	53
COFFIS	9	6	36	19	79

Note: All categories of BOGA membership are included; only subnational government members are excluded. Some FTAs are bilateral and only involve 2 treaty relationships, whereas others are plurilateral (e.g., CETA, CPTPP). ECT relationships are separated into intra-EU and not intra-EU, considering the argument by the EU that the ECT has never applied to intra-EU disputes and the fact that the modernized agreement solidifies this position. While it is still possible for intra-EU disputes to arise, it is more important for clubs to address the non-intra-EU relationships, including those covered by the sunset clause.

claims over fossil fuel assets. Lee and Dilworth (2024) identify 15 countries that are at particular risk, including Australia and the UK from the Global North, and Egypt, Nigeria, Colombia, and Indonesia from the Global South. Tienhaara et al. (2022), using a different approach, identified countries that were facing fiscal constraints, high transition costs, climate vulnerabilities, and ISDS risk. This research highlighted Nigeria and Indonesia, as well as Mozambique, Guyana, and others.

6 | Conclusions

The investment treaty regime poses a significant risk for the transition away from fossil fuels that is necessary to achieve global climate goals. Although various procedural and substantive reforms have been pursued in recent years, these reforms have thus far failed to tackle the fundamental problems with investment treaties and the ISDS system associated with them. Moreover, while radical reform—in the form of treaty withdrawal or termination—has been pursued by some states, notably in the context of the ECT, many countries, particularly in the Global South, remain at risk if they pursue climate policies aimed at phasing out fossil fuels and/or fossil fuel subsidies.

Climate clubs could help address the risks posed by investment treaties and arbitration. Through such clubs, coalitions of the willing can come together to demonstrate leadership in particular areas of climate policy where multilateral progress remains elusive. Indeed, tackling the barriers posed by the investment treaty regime for phasing out fossil fuels could support the goals of various initiatives aimed at phasing out one or several fossil fuels, including BOGA, PPCA, and COFFIS. This does not preclude the need for investment treaty reform discussions to continue in other forums. Indeed, if a climate club can establish a norm of Paris-aligned investment treaty modification/termination for a group of countries, it would become easier for further initiatives to be adopted at UNCITRAL

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TABLE 4 | Top 15 countries in terms of number of investment treaties in force.

Country	Total	BITs	TIPs
Germany	181	114	67
France	151	84	67
Switzerland	150	111	39
Netherlands	141	74	67
China	139	109	30
Belgium	128	61	67
Luxembourg	127	60	67
Spain	127	60	67
Czechia	126	59	67
Finland	122	55	67
Italy	120	52	68
Sweden	120	53	67
Romania	120	53	67
Austria	114	47	67
Hungary	109	42	67

Note: Not all treaties counted in this table include ISDS provisions.
Source: Based on data from UNCTAD's International Investment Agreement Navigator (last accessed 26 June 2025).

TABLE 5 | Top 15 countries in terms of GHGs associated with treaty-protected fossil fuel assets (domestic and overseas).

Country	GHGs (Mt CO_2e)
United Kingdom	254.84
China	234.06
Japan	215.41
France	187.60
United States	170.76
Italy	91.74
Germany	62.87
Malaysia	62.46
Russia	55.30
Czechia	53.52
Luxembourg	50.31
South Korea	49.11
United Arab Emirates	47.02
Spain	42.95
Thailand	39.28

Source: (Lee and Dilworth 2024).

and the OECD. In other words, one of the norms around fossil fuel (subsidy) phase-outs that these clubs can internationalize is that the sector should not have access to ISDS.

TABLE 6 | Top 15 countries in terms of acting as home state of investor in ISDS cases.

Country	# of ISDS cases
United States	234
Netherlands	135
United Kingdom	120
Germany	87
Spain	77
Canada	76
France	68
Italy	53
Switzerland	52
Türkiye	51
Luxembourg	47
Cyprus	38
Austria	32
Russian Fed.	28
Belgium	22

Source: Based on data from UNCTAD's International Investment Dispute Settlement Navigator (last accessed 26 June 2025).

Some states—such as France, Denmark, and Spain—could play a leading role in championing the inclusion of investment treaty reform in the coalitions that they are part of. By contrast, pursuing the creation of a new club focused solely on investment treaty reform could bring together different groups of countries, for instance, based on the number of treaties in force, the amount of fossil fuel assets covered by such treaties, or the homes of the most litigious investors. This, in turn, may point to some other countries taking the lead, including the Netherlands and the UK.

The feasibility of these approaches depends not only on which countries champion a climate club, but also on the level of ambition. We have identified three types of initiatives, ranging from a waiver agreement for ISDS related to fossil fuel assets, to a general ISDS waiver agreement, to a mutual agreement to terminate investment treaties.[8] While the latter commitment may be the most ambitious in terms of preventing investors from using the investment treaty regime to challenge climate policies, this option is also the most challenging to negotiate. Within the context of existing climate clubs, it may be more sensible to focus initially on blocking fossil fuel investors from accessing ISDS.

Future research is merited in this area, particularly with respect to the domestic and transnational business coalitions that might mobilize to lobby against our proposed initiatives. While archival research has demonstrated the role of certain carbon majors in shaping the emergence of the investment treaty regime, less research has focused on contemporary lobbying by the fossil sector aimed at maintaining the system in the face of increasing demands for reform.[9] Furthermore, the role played by arbitrators, law firms, and third-party funders in influencing government positions on ISDS is still poorly understood. Lastly, research could

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shed further light on the conditions under which members of climate clubs can take forward the reform proposals outlined here.

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Conflicts of Interest

The authors declare no conflicts of interest.

Data Availability Statement

The data used to develop the tables and figures in this article were derived from the following resources available in the public domain: - UNCTAD Investment Dispute Settlement Navigator, https://investmentpolicy.unctad.org/investment-dispute-settlement- UNCTAD International Investment Agreements Navigator, https://investmentpolicy.unctad.org/international-investment-agreements.

Endnotes

[1] The "legacy" provisions of USMCA permitted ISDS cases to be launched for 3 years following the termination of NAFTA, but the tribunal in *TC Energy* v *USA* found that they did not apply to government decisions taken after 30 June 2020 (when the USMCA replaced NAFTA).

[2] While the EU and several countries have withdrawn from the ECT, those that have remained voted in late 2024 in favor of a proposal that includes the insertion of aspirational language on sustainable development into the treaty as well as a "flexibility mechanism" through which states can opt to exclude treaty protection for new fossil fuel investments, while slowly phasing out protection for existing ones. The flexibility mechanism has been critiqued for failing to address the scientific imperative of a rapid decline in fossil fuels. Furthermore, Switzerland is the only remaining ECT member that has opted (as of 1 May 2025) to use the flexibility mechanism and the country will only exclude protection for investments related to non-low carbon and non-renewable hydrogen and certain synthetic fuels.

[3] Canada and Mexico are also parties to the Comprehensive and Progressive Agreement for a Trans-Pacific Partnership (CPTPP) and ISDS applies between them under this treaty.

[4] See https://apfccptppportal.ca/official-documents/side-letters.

[5] See, for example, the characterization of Colombia's efforts to renegotiate treaties by the law firm White & Case (San Juan et al. 2024).

[6] We excluded the FFNPT from the analysis because the number of states that have endorsed the initiative is still limited (and thus, there are few, if any, relevant investment treaty relationships). Conversely, membership of the PPCA is so large that we believe it to be much less likely that an agreement among all members could be negotiated.

[7] If the agreement does not currently have ISDS (e.g., the African Continental Free Trade Agreement) or if there is a side letter between two countries to disapply ISDS then it is not included in the figure. Treaties that have already been terminated are also not displayed, although these may be subject to sunset clauses. ECT relationships are displayed even when the country has withdrawn from the treaty as the sunset clause is still in effect in all cases. Treaties that have not come into force are not displayed except for CETA, as discussed further in Section 5.1. Figures were generated using Kumu (kumu.io).

[8] A further option not discussed in this article is to carve-out climate policy disputes from ISDS (see Paine and Sheargold 2023). This approach has some advantages but would require the development of an institutional mechanism to review ISDS claims to ensure that those being screened out are legitimately related to climate mitigation efforts, which would create an additional administrative burden for the climate club.

[9] It is notable that Senior Counsel for ExxonMobil criticized some of the "debilitating" proposals for reform of ISDS at a presentation in April 2025 (see Jones 2025).

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